P 1 8

Pre-Leaving Certificate Examination, 2021

ACCOUNTING – HIGHER LEVEL
(400 marks)

TIME: 3 HOURS

This paper is divided into 3 Sections:

Section 1: Financial Accounting (120 marks).
This section has five questions (Numbers 1(a), 1(b), 2, 3, 4). Question 1 carries 120 marks and the remaining questions carry 60 marks each. Candidates should answer either **QUESTION 1(a) or 1(b)** for 120 marks OR attempt any **TWO** of the remaining three questions in this section for 60 marks each.

Section 2: Financial Accounting (200 marks).
This section has three questions (numbers 5 – 7). Each question carries 100 marks. Candidates should answer any **TWO** questions.

Section 3: Management Accounting (80 marks).
This section has two questions (numbers 8 and 9). Each question carries 80 marks. Candidates should answer **ONE** of these questions.

Calculators
Calculators may be used in answering the questions on this paper. It is very important that workings are shown in the answer book(s) so that full credit can be given for correct work.

Answer **Question 1(a)** or **Question 1(b)** for 120 marks
OR any TWO other questions for 60 marks each.

1(a). Company Final Accounts including a Manufacturing Account

Simpson Manufacturing Ltd has an authorised capital of €2,500,000. This is divided as follows: 2,000,000 ordinary shares at €1 each and 500,000 4% preference shares at €1 each. The following trial balance was extracted from its books at 31/12/2020.

	€	€
Land and buildings (cost €1,200,000)	925,000	
Plant and machinery (cost €450,000)	325,000	
Sales		955,000
Rent		25,000
Dividends paid	23,500	
Selling and distribution expenses	21,800	
Sale of scrap materials		33,250
Issued share capital		
– ordinary shares		900,000
– 4% preference shares		100,000
Profit and loss balance 01/01/2020		90,450
PAYE, PRSI, USC		24,350
Bank	93,250	
Stocks on hand 01/01/2020		
Finished goods	31,500	
Work in progress	35,000	
Raw materials	26,900	
Goodwill (cost €72,000)	18,000	
Administration expenses	95,800	
Purchase of raw materials	295,000	
Debenture interest paid	7,500	
VAT		6,300
2% Investments (acquired on 31/05/2020)	180,000	
6% Debentures (including €100,000 issued on 01/09/2020)		200,000
General factory overheads (including suspense)	58,500	
Discount (net)		3,500
Direct factory wages	97,300	
Debtors and creditors	145,400	41,600
	2,379,450	2,379,450

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The following information and instructions are to be taken into account:

(i) Stocks on hand at 31/12/2020:

	€
Finished goods	36,800
Work in progress	18,500
Raw materials	19,400

(ii) Goodwill is being written off over an 8 year period.

(iii) Goods which cost the firm €12,000 to produce were sent to a customer on a 'sale or return' basis. These goods had been entered in the books as a credit sale with a mark-up on cost of 30%.

(iv) The suspense figure arises as a result of discount allowed €300 entered only in the discount account and credit purchases of raw materials €3,500 entered as €5,300 on the incorrect side of the creditor account.

(v) Provide for a recent wage increase of 4% which has been agreed with the trade unions and is to be backdated to cover the three months from 01/10/2020.

(vi) The figure for bank in the trial balance has been taken from the firm's records. However, a bank statement dated 31/12/2020 has arrived showing a balance of €97,425 credit. A comparison of the bank account and the bank statement revealed the following discrepancies:

1. A cheque of €5,500 issued to a supplier has not yet been presented for payment.
2. Bank charges €125 had been deducted by the bank.
3. A cheque for €1,200 received from a debtor had been dishonoured. As the debtor was recently declared bankrupt and gone out of business it was decided to write it off as a bad debt.

(vii) No record has been made in the books for raw materials costing €5,000 which were in transit on 31/12/2020. The invoice for these goods had been received.

(viii) During 2020, an extension was added to the factory. The work was carried out by the company's own employees. The cost of the labour, €18,000 (which includes the recent increase), is included in factory wages. The materials, costing €16,500, were taken from stocks of raw materials. No entry had been made in the books in respect of the extension.

(ix) Machinery which had cost €50,000 in May 2018 was sold in October 2020. The proceeds from the disposal was €34,500. It is company policy to charge a full year's depreciation in the year of acquisition but none in the year of disposal. All the entries in relation to this transaction were completely omitted from the books and the cheque for €34,500 was mistakenly left in an office drawer for ten weeks and not lodged to the bank account until January 2021.

(x) A full year's depreciation on fixed assets is to be provided as follows:

Plant and machinery	12.5% of cost.
Buildings	2% of cost.

50% of the buildings depreciation is to be allocated to the factory.

Land had originally cost €250,000. It was decided at 31/12/2020 that the entire land and buildings are to be revalued to €2,000,000.

(xi) Provision is to be made for the following:

1. Investment income due and debenture interest due at the end of the year.
2. Corporation tax due of €63,000 to be paid in January 2021.

(xii) Goods are to be transferred to the trading account at market value of €500,000.

Required:

(a) Prepare a manufacturing, trading, profit and loss account for the year ended 31/12/2020. (70)

(b) Prepare a balance sheet as at 31/12/2020. (50)

(120 marks)

1(b). Final Accounts – Sole Trader

The trial balance shown below was extracted from the books of Walter White on the 31/12/2020.

	€	€
Buildings (cost €390,000)	315,000	
Delivery vans (cost €95,000)	68,000	
Office equipment (cost €17,500)	8,000	
Debtors and creditors	56,210	48,150
Patents (incorporating 2 months investment income)	53,200	
6% Fixed mortgage		250,000
Discount (net)		550
Purchases and sales	395,000	620,000
4% Investments (01/02/2020)	120,000	
Commission	4,500	
Provision for bad debts		3,100
Salaries and general expenses	75,200	
Stock 01/01/2020	28,450	
Insurance (incorporating suspense)	14,200	
Rent	2,600	
Mortgage interest (paid for the first six months)	7,600	
VAT		3,000
PAYE, PRSI and USC		5,750
Bank		32,130
Drawings	18,600	
Capital		203,880
	1,166,560	1,166,560

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The following information and instructions are to be taken into account:

(i) Stock at 31/12/2020 at cost was €27,500. During the year, stock which had cost €3,750 was destroyed by fire. The insurance company has agreed to pay compensation of €3,000.

(ii) Provide for depreciation on delivery vans at an annual rate of 15% of cost from date of purchase to date of sale.

NOTE: On 30/06/2020 a delivery van, which had cost €30,000 on 30/06/2016, was traded in against a new van which cost €35,000. An allowance of €11,000 was made on the old van. The cheque for the net amount of this transaction was incorrectly treated as a purchase of trading stock. This was the only entry made in the books in respect of this transaction.

(iii) The suspense figure arises as a result of the posting of an incorrect figure for mortgage interest in the mortgage interest account (although the correct figure for mortgage interest had been entered in the bank account) and discount allowed €400 was entered only in the discount account.

(iv) Patents, which incorporate two months' investment income received, are to be written off over a six-year period commencing in 2020.

(v) A new warehouse was purchased on 01/01/2020 for €51,075 including VAT of 13.5%. The amount paid to the vendor was entered in the buildings account. No entry was made in the VAT account.

(vi) Provide for depreciation on buildings at a rate of 2% of cost per annum. It had been decided to re-value the buildings at €450,000 on 01/01/2020.

(vii) Goods taken by White for his own use during the year were omitted from the books. These goods had a retail value of €8,100, which is cost plus 20%.

(viii) No record has been made in the books for 'goods in transit' on 31/12/2020. The invoice for these goods had been received showing the recommended retail selling price of €8,000, which is cost plus 25%.

(ix) A supplier who was owed €2,750 accepted office equipment with a book value €2,500 in full settlement of the debt. The office equipment had cost €3,500. No entry was made in the books in respect of this transaction. Provide for depreciation on office equipment held on 31/12/2020 at the rate of 20% of cost.

(x) Provision to be made for mortgage interest due and investment income due at 31/12/2020.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2020. **(70)**

(b) Prepare a balance sheet as at 31/12/2020. **(50)**

(120 marks)

2. Debtors Control Account

The debtors' ledger control account of E. Haugh showed the following balances: €25,540 dr and €340 cr on 31/12/2020. These figures did not agree with the schedule (list) of debtors' balances extracted on the same date. An examination of the books revealed the following:

(i) An invoice sent to a customer for €640 had been recorded in the appropriate day book as €64. When posting this invoice to the debtors' ledger, €640 was entered in the personal account on the credit side.

(ii) A credit note for €250 was sent to J. Corry, a customer, and entered in the books. However, the bookkeeper forgot to deduct a restocking charge of 10%. When the error was discovered, the bookkeeper immediately sent another credit note for €225 and debited this to Corry's account.

(iii) Bills receivable issued €800 were entered on the incorrect side of the control account though treated correctly in the debtor's ledger account.

(iv) The debtors who had been due a refund on 31/12/2020 had been paid half of what was owed to them. This payment was completely omitted from the books.

(v) Interest amounting to €121, charged to a customer's overdue account, had been entered as €112 in the control account. Following a complaint from the customer, this charge was reduced to €100, but this reduction had not been entered in the books.

(vi) A credit note was sent to a customer for €720. The only entry made in the books was €270 credited to a creditor's account.

Required:

(a) Prepare the adjusted debtors' ledger control account. **(30)**

(b) Prepare the adjusted schedule of debtors showing the original balance. **(22)**

(c) (i) Explain what is a Contra item when dealing with control accounts.
(ii) Explain the limitations of control accounts. **(8)**

(60 marks)

3. Service Firm

Included in the assets and liabilities of M. Tierney, a dentist, on 01/01/2020 were the following: Surgery €350,000, equipment €45,000, furniture €15,000, 4% investments €50,000, stock of dental supplies €1,350, creditors for dental supplies €1,000, 2 months insurance prepaid €820, amounts due from medical card scheme €6,450.

Receipts and Payments Account for the year ended 31/12/2020:

Receipts	€	**Payments**	€
Bank balance at 01/01/2020	1,940	Telephone	3,640
Receipts from private patients	64,500	Light & heat	2,340
Medical card scheme	88,000	Annual insurance payment	9,900
Investment income	2,500	Cleaning expenses	5,000
Sale of furniture (cost €7,000)	2,500	Receptionists' wages	18,000
		Purchases – dental supplies	24,500
		Drawings	26,000
		Furniture	12,000
		Bank loan plus 18 months interest at 6% per annum on 31/07/2020	27,250
		Balance 31/12/2020	30,810
	159,440		159,440

The following information and instructions are to be taken into account:

(i) Stock of dental supplies at 31/12/2020 was €3,650.

(ii) Fees due from private patients and medical card scheme are €620 and €12,400 respectively.

(iii) Creditors for dental supplies at 31/12/2020 are €2,800.

(iv) The figure for bank does not take into account bank charges of €95 and a cheque received from a private patient €160 in December and was dishonoured by the bank. It is assumed the reason for the cheque being dishonoured was due to an oversight by the client.

(v) 75% of light and heat and telephone relate to the practice and the remainder is deemed to be for private purposes.

(vi) The figure for cash drawings includes €2,000 for 2 weeks wages paid to a locum dentist and you are required to provide for a further 6 weeks wages due.

(vii) Provide for depreciation as follows:
Equipment – 20% of cost
Furniture – 10% of cost
Surgery – 2% of cost
Note: Fixed assets are given at cost and depreciation on them has been accumulated for 2 years to 01/01/2020. The depreciation policy is to charge a full year's depreciation in the year of acquisition and none in the year of disposal.

Required:

(a) Prepare a statement of capital for M. Tierney as at 01/01/2020. **(18)**

(b) Prepare an income and expenditure/profit and loss account for the year ended 31/12/2020. **(30)**

(c) (i) Prepare Tierney's drawings account.
(ii) Explain why it is important for Tierney to keep a record of the amounts taken out as drawings. **(12)**

(60 marks)

4. Cash Flow Statement

The following are the balance sheets of Russell plc as at 31/12/2019 and 31/12/2020, together with an abridged profit and loss account for the year ended 31/12/2020.

Balance Sheets as at ...	**31/12/2020**		**31/12/2019**	
	€	€	€	€
Intangible Assets				
Goodwill		72,000		84,000
Fixed Assets				
Land and buildings at cost	675,000		700,000	
less accumulated depreciation	(46,000)	629,000	(43,000)	657,000
Machinery at cost	115,000		95,000	
less accumulated depreciation	(29,000)	86,000	(15,000)	80,000
		715,000		737,000
Financial Assets				
Fixed Term Deposit Account		150,000		50,000
		937,000		871,000
Current Assets				
Government securities	47,000		12,000	
Stock	43,000		27,000	
Debtors	16,500		19,000	
Cash	1,500		850	
Bank	5,000		——	
Interest Receivable due on Fixed Term Deposit	400		300	
	113,400		59,150	
Less Creditors: amounts falling due within 1 year				
Trade creditors	43,000		32,000	
Taxation	16,000		12,500	
Interest due	2,500		3,000	
Bank	——		4,500	
	61,500	51,900	52,000	7,150
		988,900		878,150
Financed by:				
Creditors: amounts falling due after more than 1 year				
6% Debentures		60,000		80,000
Capital and Reserves				
Ordinary Shares @ €1 each	750,000		675,000	
Share premium	19,500		12,000	
Profit and loss account	159,400	928,900	111,150	798,150
		988,900		878,150

Abridged Profit and Loss Account for the year ended 31/12/2020

	€
Operating Profit	91,450
Investment income for the year	2,500
Interest for the year	(4,200)
Profit before Taxation	89,750
Taxation for the year	(24,000)
Profit after Taxation	65,750
Dividends paid	(17,500)
Retained Profit	48,250
Retained profit on 01/01/2020	111,150
Retained profit on 31/12/2020	159,400

The following information is also available:

1. There were no disposals of machinery during the year but new machinery was acquired.
2. There were no additions to buildings during the year but buildings were disposed of for €40,000.
3. Depreciation charged for the year on buildings in arriving at the operating profit was €18,000.
4. Goodwill is being amortized by €12,000 per annum, which commenced in 2018.

Required:

(a) Prepare the cash flow statement of Russell plc for the year ended 31/12/2020 including reconciliation statements. **(52)**

(b) What information about a firm's financial position is highlighted to its management by a cash flow statement? **(8)**

(60 marks)

SECTION 2 (200 marks)
Answer any **TWO** questions

5. Interpretation of Accounts

The following figures have been taken from the final accounts of Iremo plc, a company that produces personal protective equipment (PPE) in the health and safety sector. The company has an authorised capital of €3,000,000 made up of 2,000,000 ordinary shares at €1 each and 1,000,000 5% preference shares at €1 each. Iremo plc has already issued 900,000 ordinary shares and 200,000 preference shares.

Trading and Profit and Loss Account for the year ended 31/12/2020	
	€
Sales	1,190,000
Opening stock	54,000
Cost of sales	(920,000)
Total operating expenses for the year	(195,000)
Interest for the year	(16,000)
Net profit for the year	59,000
Dividends	(25,000)
Retained profit	34,000
Profit and loss balance 01/01/2020	64,000
Profit and loss balance 31/12/2020	98,000

Ratios and information for the year ended 31/12/2019	
Earnings per ordinary share	3.7c
Dividend per ordinary share	1.5c
Interest cover	6.2 times
Acid test ratio	1.2 : 1
Market value of an ordinary share	€0.37
Return on capital employed	4.8%
Gearing	44.2%
Dividend cover	2.47 times
Dividend yield	4.05%

Balance Sheet as at 31/12/2020		
	€	€
Fixed Assets	975,000	
Intangible assets	100,000	
Investments (market value 31/12/2020, €265,000)	250,000	1,325,000
Current Assets (including stock €62,000 and debtors €23,000)	187,000	
Less creditors: amounts falling due within 1 year		
Trade creditors	110,000	
Expenses due	4,000	73,000
		1,398,000
8% Debentures (2025/2026 secured)		200,000
Capital and Reserves		
Ordinary shares @ €1 each	900,000	
Preference shares @ €1 each	200,000	
Profit and loss balance	98,000	1,198,000
		1,398,000

Market value of one ordinary share on 31/12/2020 is €**0.45**

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(a) **You are required to calculate the following for 2020:** (where appropriate, calculations should be made to **two** decimal places).

(i) Dividend yield on ordinary shares.

(ii) Price earnings ratio.

(iii) Interest cover.

(iv) Cash purchases if the period of credit allowed received from trade creditors is 2 months.

(v) Return on capital employed. **(50)**

(b) Advise a friend of yours who has been given the opportunity to buy ordinary shares in Iremo plc but before doing so asks your opinion. What advice would you give? Use relevant ratios, percentages and any other information from the above to support your answer. **(40)**

(c) In general, when would existing shareholders be encouraged to buy extra shares in a company? **(10)**

(100 marks)

6. Tabular Statement

The financial position of Willett Ltd on 01/01/2020 is shown in the following balance sheet:

Balance Sheet as at 01/01/2020			
	€	€	€
Fixed Assets	**Cost**	**Dep**	**NBV**
Land and buildings	310,000	25,000	285,000
Motor vehicles	80,000	34,000	46,000
	390,000	59,000	331,000
Financial Assets			
Investments			45,000
Current Assets			
Stock	27,500		
Debtors (less 4% bad debt provision)	24,000		
Rent prepaid	1,200	52,700	
Less creditors: amounts falling due within 1 year			
Creditors	16,850		
VAT	3,200		
Bank	6,250		
Wages due	850	27,150	
Net Current Assets			25,550
Total Assets less Current Liabilities			401,550
Financed By:			
Creditors: amounts falling due after 1 year			
15 year loan			65,000
Capital and Reserves			
Authorised - 500,000 ordinary shares @ €1 each			
Issued - 300,000 ordinary shares @ €1 each		300,000	
Share premium		10,000	
Profit and loss balance		26,550	336,550
			401,550

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The following transactions took place during 2020:

Jan. On Jan 1st Willett Ltd decided to revalue their land and buildings to €350,000, which includes land now valued at €100,000. The depreciation charge on buildings for the year is to be 2% of book value.

Feb. Paid all outstanding wages on 31st Dec 2019 by cheque. It was also decided to amend the bad debt provision to 5% of debtors.

Mar. Issued 120,000 shares at a premium of 10c per share.

April On the 1st of April Willett Ltd purchased an adjoining business made up of the following: buildings €85,000, motor vehicles €20,000, creditors €32,500 and stock €3,000. The purchase price was discharged by granting the seller the remaining shares in Willett Ltd at a premium of 12.5c per share.

May Sold goods on credit for €24,600. This included VAT at 23% and a mark-up on cost of 25%.

June Paid by cheque rent for the year ending 30/06/2021 €4,800. Also, in June the business received a bank statement showing a credit transfer into Willett's account in respect of the annual income receivable from investments of €2,500.

July Received a cheque for €850 from a debtor and allowed discount of €20.

Sept. Willett Ltd decided to make a one-off payment on the 20 year loan by paying off €35,000. To do this they sold €35,000 of the investments for the value at which they were bought.

Oct. Goods previously sold in March for €1,845 (incl VAT) by Willett Ltd were returned. As a result of a delay in returning these goods, a credit note for only €1,700 was issued.

Nov. A payment of €750 was received from a debtor whose debt had been previously written off. This represents 40% of the original debt, and the debtor had undertaken to pay the remainder in January 2021.

Dec. A vehicle which had cost €22,000 was traded in against a new vehicle costing €40,000. A trade-in allowance of €16,500 was given on the old vehicle. Depreciation charged on the old vehicle up to the date of disposal was €3,200. The annual charge for depreciation on motor vehicles was €12,750.

Required:

Record on a tabular statement the effect each of the above transactions had on the relevant asset, liability and capital accounts and ascertain the total assets and liabilities on 31/12/2020.

(100 marks)

7. Incomplete Records

On 01/01/2020 H. Stenson lodged €275,000 to a business bank account and on the same day purchased a business for €175,000, consisting of the following tangible assets and liabilities: premises €150,000, stock €3,500, debtors €4,700, light and heat due €245, trade creditors €6,450, four months rates prepaid €750, stock of heating oil €270, stock of stationery €190. There is also a VAT liability of €13,000.

During 2020, Stenson did not keep a full set of books but estimates that the gross profit was 25% of sales and was able to supply the following additional information on 31/12/2020:

(i) Each week, Stenson took from stock goods costing €130 and issued a cheque each week for €125 to pay for household expenses.

(ii) On 01/05/2020, Stenson borrowed €180,000, part of which was used to purchase an adjoining premises costing €140,000. It was agreed that interest would be paid on the last day of each month at the rate of 8% per annum.
The capital sum was to be repaid in one lump sum in the year 2026. To provide for this, the bank was instructed to transfer €2,400 on the last day of every month from Stenson's bank account into an investment fund.

(iii) During the year, Stenson made lodgements into the business bank account as follows:
€74,600 from the cash register;
€2,500 dividends;
€20,000 an inheritance from a deceased uncle.

(iv) He also made the following payments from the business bank account during the year: light and heat €4,750, interest €2,500, wages and general expenses €43,200, equipment €15,000, rates for twelve months €5,100, college fees for a family member €3,500, diesel for private car €2,500, VAT payment €10,000.

(v) Stenson estimated that 30% of light and heat used, equipment, as well as 25% of interest payable should be attributed to the private section of the premises.

(vi) Stenson decided to make a provision for bad debts amounting to 4% of debtors and to charge depreciation at 15% per annum on equipment held on 31/12/2020.

(vii) Included in the assets and liabilities of the firm on 31/12/2020 were: stock €8,400, debtors €16,500, electricity bill due €195, trade creditors €10,200, and €55 interest earned by the investment fund to date. He estimated that the total value of premises at the 31/12/2020 was €275,000.

(viii) Stenson also remembered that in December he sold goods on a 'sale or return' basis to a customer for €2,500. This figure represented a mark-up of 25%. This has been recorded by the bookkeeper as a credit sale in the books.

Required:

(a) Prepare, with workings, a statement/balance sheet showing Stenson's profit or loss for the year ended 31/12/2020. **(45)**

(b) Prepare with workings, a trading, profit and loss account, in as much detail as possible, for the year ended 31/12/2020 **(45)**

(c) What effects could the Covid-19 pandemic have on small businesses like Stenson's? **(10)**

(100 marks)

SECTION 3 (80 marks)
Answer **ONE** question

8. Stock Valuation, Product Costing, Under and Over Absorption

(a) Valuation of Closing Stock

Xander Ltd is a retail store that buys and sells one product. The following information relates to the purchases and sales of Xander Ltd for the year 2020. (The figures do not include VAT.)

Period	Purchases on Credit	Credit Sales	Cash Sales
01/01/2020 - 30/04/2020	4,600 @ €7 each	1,300 @ €12 each	2,700 @ €13 each
01/05/2020 - 31/08/2020	7,400 @ €8 each	2,100 @ €13 each	2,450 @ €14 each
01/09/2020 - 31/12/2020	2,400 @ €9 each	1,950 @ €14 each	2,150 @ €15 each

On 01/01/2020 there was an opening stock of 1,400 units at €6 each.

Required:

(i) Calculate the value of closing stock using the 'First in/First out' (FIFO) method.
(ii) Prepare a trading account for the year ended 31/12/2020.
(iii) What would be the effect on gross profit if closing stock is overvalued?

(b) Product Costing

The following is the budgeted yearly overhead details of Bello Ltd, manufacturers of medical equipment, which has three production departments.

Production Departments	Budgeted Overheads	Budgeted Labour Hours	Wage Rate per Hour
Manufacturing	€250,000	40,000	€ 8.50
Assembly	€160,000	12,500	€ 3.50
Finishing	€40,000	3,200	€ 6.25

Budgeted general administration costs for the year €1,002,600.

Details of Job Number 1920X

Direct material 35 kgs at €11.50 per kg

Direct labour hours	Manufacturing	25 hours
	Assembly	8 hours
	Finishing	5 hours

All orders are priced using a profit margin of 33 1/3%.

Required:

(i) Calculate the overhead absorption rates for each department.
(ii) Calculate the selling price of Job Number 1920X.

(c) Under and Over Absorption

The information set out below refers to the budgeted and actual costs of Duff Manufacturing Ltd.

Budgeted	Direct Labour Hours	Machine Hours	Total Overhead
Department A	6,000	28,000	€ 196,000
Department B	45,000	8,000	€ 40,500
Department C	25,000	——	€ 66,250

Actual	Direct Labour Hours	Machine Hours	Total Overhead
Department A	7,500	29,000	€ 195,000
Department B	42,000	14,000	€ 38,400
Department C	26,000	——	€ 68,000

Required:

(i) Calculate the departmental overhead absorption rates for Departments A, B and C.
(ii) Show the under/over absorption by department and in total for the period. Explain what these figures show.
(iii) What are the implications to a firm when it over-absorbs overheads when issuing a quotation for a job or a product? **(80 marks)**

9. Budgeting

Berger Ltd is planning to set up business on 01/07/2021 to manufacture a single product. Below is the sales budget for the company for its first 6 months of trading.

Sales Budget						
	July	**Aug**	**Sept**	**Oct**	**Nov**	**Dec**
Sales units	750	800	850	900	940	980
Sales revenue (€)	94,500	100,800	107,100	113,400	118,440	123,480

(i) The product requires 10 kgs of material Z per unit, which costs €5.00 per kg.

(ii) Stocks of finished goods are maintained at 70% of the following month's sales requirements.

(iii) Stocks of raw materials, sufficient for 30% of the following month's requirements in kgs, are held at the end of each month.

(iv) The cash collection pattern from sales is expected to be:

Cash Customers 60% of sales revenue for immediate cash, for which a 5% cash discount is allowed.

Credit Customers 40% of sales revenue will be from credit customers. These debtors will pay their bills, 50% in the month after sale and the remainder in the second month after sale.

(v) Suppliers are paid within one month.

(vi) Expenses of the business will be settled as follows:

Expected Costs Wages €18,500 per month, payable one month in arrears. Variable overheads €5 per unit, payable as incurred. Fixed overheads (including depreciation) €16,000 per month, payable as incurred.

Capital Costs Equipment will be purchased on July 1 and paid for in August costing €21,200 which will have a useful life of 8 years and thereafter is expected to have a scrap value of €2,000. To finance this purchase, a loan of €15,000 will be secured on 1st August at 8% per annum. Interest is to be paid monthly, but capital loan repayments will not commence until February 2022.

(vii) Berger Ltd has arranged an overdraft limit of €20,000 with its bank. Provided it stays within the agreed limit, interest will be charged at 6.5% per annum payable one month later. (Calculations to the nearest Euro.)

Required:

(a) Prepare a production budget for the four months July to October 2021.

(b) Prepare a raw materials purchases budget (in units and €) for the four months July to October 2021.

(c) Prepare a cash budget for the four months July to October 2021.

(d) Prepare a budgeted trading and profit and loss account for the four months ending 31/10/2021 (if the actual cost of a unit of finished goods is €68).

(e) On the basis of the cash budget you have prepared, what advice would you give to Berger Ltd?

(80 marks)